

Can You Afford to Stay Home?

Before you jump to the conclusion that you can't afford to live on one salary so you or your spouse can stay home and raise your kids, consider the cost of working:

- Day care, after-school care, day camps, babysitters
- Work clothes and shoes, dry cleaning, uniforms, special gear
- Additional wear and tear and more frequent maintenance on your car, plus gas and auto insurance
- Transportation costs such as bus fares, parking, and toll fees
- Coffee and vending machine snacks or sodas at work, office gift pools, lunches out
- Professional fees such as licenses or certificates, continuing education courses, dues or subscriptions

Estimate all of these costs, add them up, and deduct the total from your net pay (after taxes). This is how much the second income is contributing to your household budget.

For an example: Assume you earn \$15 an hour and work thirty hours a week, for a gross weekly pay of \$450. Taxes deducted are between \$123 and \$182, depending on your tax bracket, leaving you a net pay of \$327 to \$268. Child care is likely to be between \$125 and \$187 per week, and its costs are growing at double the rate of inflation. Subtract the average of these two child-care figures, \$156, from your net after taxes, leaving you with \$112 to \$171 per week. Now subtract an estimate of all your other work-related expenses as previously listed. That's what you're really getting out of that second income, before you even look at the marriage tax penalty.

